United States - Taxes on Petroleum and Certain Imported Substances

TABLE OF CONTENTS

01

Facts

Facts

Superfund Act signed into law October 17th, 1986

US imposed tax of 8.2 cents on *domestic* crude oil

Imposed another tax of 11.7 cents on imported petroleum

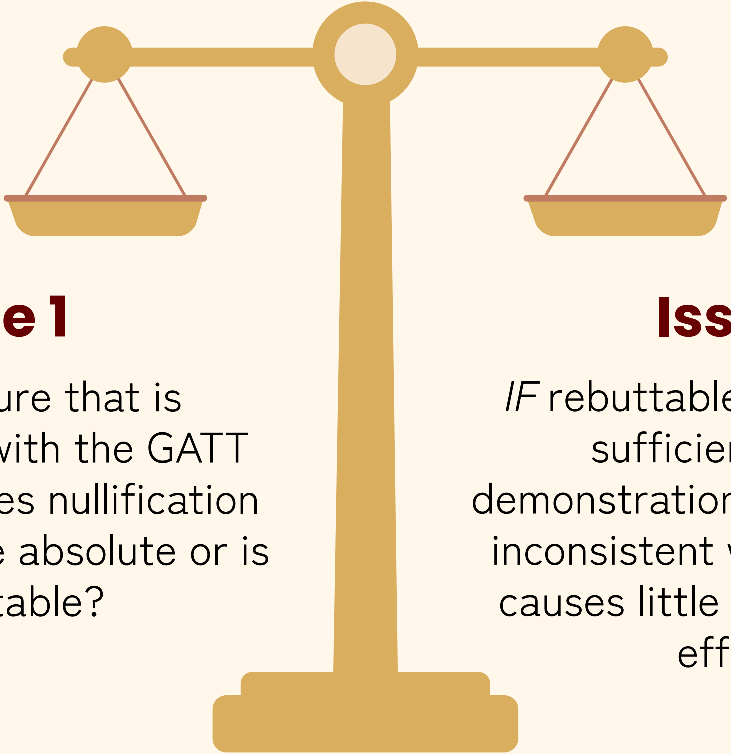
Canada, Mexico, EEC = Complaining Party

The United States = Complained Party

02

Issues

Issues



Issue 1

Can a measure that is
1) inconsistent with the GATT
2) one that causes nullification or impairment be absolute or is it rebuttable?

Issue 2

IF rebuttable, would it be a sufficient one if a demonstration that a measure inconsistent with ***Article III:2*** causes little or insignificant effects?

03

Rules

Rule # 1

1979 USD: "Where there is an infringement of the obligations assumed under the General Agreement, the action is considered *prima facie* to constitute a case of nullification or impairment."

GATT Article XXIII:1: Contracting Parties can open a case against another contracting party if the former believes that the latter caused any nullification or impairment to their benefits

Rule #2

GATT Article III:2, first sentence: "The products of the territory of any contracting party imported into the territory of any other contracting party shall not be subject, directly or indirectly, to internal taxes or other internal charges of any kind in excess of those applied, directly or indirectly, to like domestic products."

04

Application

Contentions

Complaining Party

Superfund Act should be deemed a violation of GATT Article III:2

Complained Party

Tax differential was so infinitesimal that the impact did neither nullify nor impair benefits

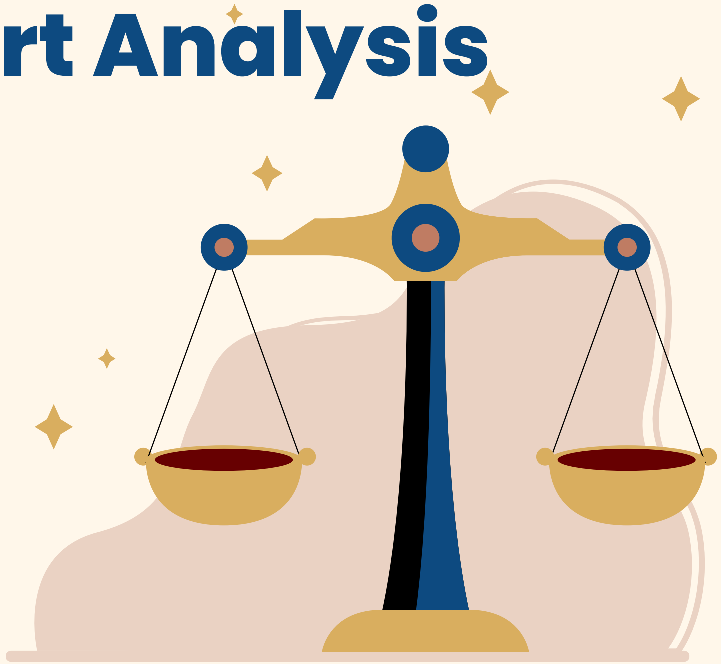
Complaining Party

Complained party’s contention is neither legally valid nor factually correct

Issue 1: Panel Report Analysis

No historical case where a complained contracting party successfully refuted the presumption that a measure violating its obligations caused nullification and impairment

Thus, **presumption is irrefutable**.



Issue 2: Panel Analysis

Complained Party's Proof

Can insignificant trade impact = proof that benefits were not nullified or impaired?

Accepted

Benefits were intended to protect expectations on export volumes

Rejected

Competitive relationship between imported and domestic goods were protected

The provisions of Article III:2, first sentence, "were equally applicable, whether imports from other contracting parties were substantial, small or non-existent."

-Members of the Working Party on the "Brazilian Internal Taxes"


"contracting party was bound by the provisions of Article III whether or not the contracting party in question had undertaken tariff commitments in respect of the goods concerned."

What the Panel Determined

Present Tax System Invalid

A tax consistent with the national principle such as high, but non-discriminatory excise tax actually has a more severe impact on the exports of other contracting parties than a tax that violates the principle such as a very low but discriminatory tax

Proof is wrong

Not possible to determine the individual difference in trade impact between the present tax and tax that is consistent with Article III:2

05

Conclusion

Panel Report

June 17, 1987

Violation? YES

- **National treatment principle** under Article III:2 of the GATT 1947
- Nullification or impairment of benefits accruing to the complaining parties under the GATT
    - Canada
    - Mexico
    - European Economic Community = European Union

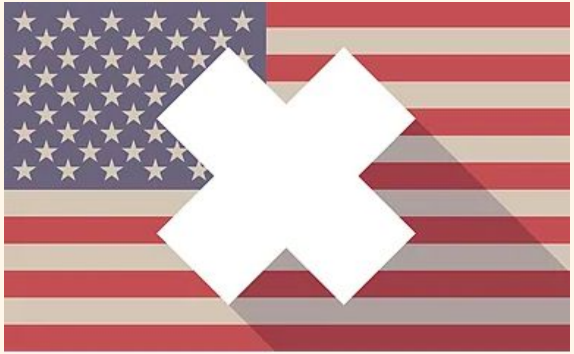
Irrefutable Presumption

The United States

- Tax differential so small
- Trade effects minimal or nil (0)
- Not nullify or impair benefits

Complained Party's Defense Failed

- Measure inconsistent w/GATT causes N or I of other contracting parties' benefits
  → Irrefutable
- Not explicitly decide by CONTRACTING PARTIES but
  → Irrefutable in practice



Competitive Relationship
b/w imported & domestic goods

Unmeasurable Trade Impact from Article III:2 Violation

- Insignificant trade effects of tax differential
  → NOT sufficient to prove no N or I
- Tax at the time v. Tax complies w/GATT
  → NOT possible to determine

Article III:2, first sentence

- NOT Export volumes
  → Comparable competitive conditions for imported products in relation to domestic products (w/o trade effects)
- Modification = **ipso facto nullification or impairment**

06

Significance

Non Binding Yet Still Important

International Law ≈ Civil Law System

- No doctrine of precedent / rule of ***stare decisis***
    - Only binding on parties in that particular case
- In practice: prior cases cited & mentioned often

Example of Violation Complaint

- Most frequently invoked ground
- Addressed through **dispute settlement procedures**

Refrain from Contravene Measures

Article XXIII of the GATT 1947

- Canada, Mexico & the EEC made a violation complaint
  → Complained party w/burden of proof

Breach of Obligation by Offending Party

- The U.S. failed to demonstrate no N or I occurred
  → ***Prima facie*** N or I becomes **conclusive**

Modifications by the U.S.

- Avoid retaliatory measures from complaining parties
  & Not want to withdraw from the GATT
  → fulfill its obligation

National Treatment Principle

Reaffirmation of Irrefutable Presumption

- Measure inconsistent w/the GATT
  → **Nullification or impairment**
- Demonstration of no or insignificant trade effects
  → Cannot rebut this presumption

Article III:2, first sentence

"The products of the territory of any contracting party imported into the territory of any other contracting party shall not be subject, directly or indirectly, to internal taxes or other internal charges of any kind in excess of those applied, directly or indirectly, to like domestic products."

Absence of Discriminatory Practices → Fair & Open Trade

RESOURCES

Jackson, J. H. (1997). *The World Trading System: Law and Policy of International Economic Relations* (2nd ed.). MIT Press.

Jackson, J. H., Davey, W. J., & Sykes, A. O. (2008). *Legal Problems of International Economic Relations: Cases, Materials and Text on the National and International Regulation of Transnational Economic* (5th ed.). West Group.

Report of the Panel, *UNITED STATES - TAXES ON PETROLEUM AND CERTAIN IMPORTED SUBSTANCES*, L/6175 - 34S/136 (Jun. 17, 1987), BISD (34th Supp.), at 136 (1988), https://www.wto.org/english/tratop_e/dispu_e/gatt_e/87superf.pdf.

World Trade Organization. (n.d.). *Legal effect of panel and appellate body reports and DSB recommendations and rulings*. WTO. Retrieved March 22, 2023, from https://www.wto.org/english/tratop_e/dispu_e/disp_settlement_cbt_e/c7s2p1_e.htm

THANK YOU!

CREDITS: This presentation template was created by **Slidesgo**, and includes icons by **Flaticon**, and infographics & images by **Freepik**